How Much Do You Need & What Lenders Look For

A new small nail, hair, or beauty salon typically needs **$75,000 to $250,000** in total startup funding. The exact number depends on your location, size, and build-out complexity — use our Salon Startup Cost Calculator to pin it down for your situation. Once you know the number, the next question is: where does the money come from?

Every lender you approach — SBA, BDC, a bank, or an equipment financing company — will evaluate you on roughly the same five criteria:

- **Personal credit score.** 680 minimum, 720+ strongly preferred for traditional bank loans and SBA. Below 680, your options narrow to equipment financing or alternative lenders.
- **Owner equity.** Most lenders want you to put in 20–30% of the total budget as your own skin in the game. On a $120,000 budget, that's $24,000 to $36,000 in cash.
- **Business plan.** A written plan with realistic financials is not optional for loans above $25,000. Use our free Salon Business Plan Template as a starting point.
- **Experience.** Lenders love seeing 5+ years of industry experience before you open your own shop. If you've been behind the chair for a decade, say so prominently.
- **Collateral.** For larger loans, lenders may want equipment, inventory, or a personal asset as collateral. SBA and BDC require less than traditional banks.

With those criteria in mind, here are the seven funding paths most new salon owners actually take — with honest pros, cons, and who each is best for.

1 Personal Savings & Owner Equity

Typical amount: $15,000–$60,000

Cost: $0 interest

Approval time: Instant

Best for: Covering the 20–30% required down payment

Every other financing option on this list requires you to put in your own money first. Lenders want to see that you have real skin in the game. The question isn't *whether* to use personal savings — it's how much of your budget should come from it. Most successful salon startups combine $20,000–$40,000 of owner equity with an $80,000–$150,000 loan.

PROS

- Zero interest, zero paperwork
- Proves commitment to lenders
- No debt covenants to worry about

CONS

- Most people don't have $30,000 sitting around
- Depleting emergency savings is risky
- Opportunity cost vs other investments

2 SBA 7(a) Loan (U.S.) / BDC Small Business Loan (Canada)

Typical amount: $50,000–$350,000

Rate (2026): 7.5–11% (variable)

Term: 7–10 years

Approval time: 6–12 weeks

For most U.S. salon startups, the **SBA 7(a) loan** is the best available financing. The SBA doesn't lend directly — it guarantees a portion of a loan issued by a participating bank, which reduces the bank's risk and lets them offer better terms to small businesses. Loans up to $5 million are possible, but most salon loans fall in the $75,000–$200,000 range. Down payment is typically 10–20%, lower than a conventional bank loan.

In Canada, the equivalent is the **BDC Small Business Loan** from the Business Development Bank of Canada. BDC lends directly (unlike the SBA), offers loans from $10,000 to $350,000 specifically for new and existing businesses, and has specialized programs for women entrepreneurs, indigenous business owners, and tech-focused companies. Rates are competitive and application process is less bureaucratic than traditional banks.

PROS

- Best rates and terms for new businesses
- Long repayment (7–10 years) keeps payments low
- Lower down payment than bank loans
- Both programs designed for small business friendliness

CONS

- Heavy documentation requirements
- 6–12 weeks to close (start early)
- Still need 680+ credit and solid business plan
- Personal guarantee almost always required

3 Traditional Bank Small Business Loan

Typical amount: $25,000–$250,000

Rate (2026): 8–13%

Term: 3–7 years

Approval time: 4–8 weeks

A conventional bank small business loan — from your existing bank or a competing local bank — is usually the second choice after SBA/BDC. Without the government guarantee, rates are slightly higher and down payment requirements larger (typically 25–30% owner equity), but if you already have a strong banking relationship, the approval process can be faster than going through a new SBA application.

Banks are most comfortable lending to salon owners who have been behind the chair for 5+ years, are incorporated, have 720+ personal credit, and are putting in meaningful owner equity. First-time entrepreneurs with thin credit files often get rejected by traditional banks and pushed toward SBA/BDC programs anyway.

PROS

- Faster than SBA if you have an existing bank relationship
- Straightforward application process
- Fixed rates are common

CONS

- Higher down payment requirement (25–30%)
- Stricter credit requirements
- Shorter repayment terms mean higher monthly payments
- Harder approval for first-time owners

4 Business Line of Credit

Typical amount: $10,000–$100,000

Rate (2026): 9–18% (variable, interest-only on drawn balance)

Term: Revolving (renewed annually)

Approval time: 2–4 weeks

A business line of credit (LOC) is a revolving credit facility: your bank approves you for a maximum amount, and you draw down only what you need, paying interest only on the drawn balance. It's not typically used as your primary startup capital — it's too expensive for that — but it's an essential **supplement** for working capital and unexpected costs in your first year.

Most salon owners open a $25,000–$50,000 LOC alongside their main startup loan, leave it undrawn, and use it only when a genuine cash crunch hits: a slow month, a broken pedicure chair, a staff emergency. Having it available without drawing it costs you nothing, and the psychological safety net is worth it.

PROS

- Interest only on what you draw
- Fast access when you need it
- Psychological safety net
- Revolving — pay it back, use it again

CONS

- Higher rates than term loans
- Variable rate (can spike with interest rates)
- Easy to misuse as "free money"
- Requires an existing banking relationship

5 Equipment Financing

Typical amount: $5,000–$50,000 (limited to equipment cost)

Rate (2026): 6–15%

Term: 3–5 years

Approval time: 1–2 weeks

Equipment financing is a purpose-built loan to buy specific salon equipment — pedicure chairs, manicure stations, POS hardware, sterilizers. The equipment itself serves as collateral, which means lenders care much less about your personal credit and business history. This makes it one of the easiest financings to get approved for as a first-time owner, and it's often offered directly by the equipment manufacturer or distributor.

The tradeoff: you can only finance the equipment, not build-out costs or working capital. And the equipment-backed nature means if you miss payments, the lender can repossess chairs out of your salon. Use equipment financing strategically for your largest single-item purchases (pedi chairs, facial beds) so you free up cash for everything else.

PROS

- Easiest approval for first-timers
- Fast — as quick as 1 week
- Often zero down payment
- Directly from manufacturer, no bank middleman

CONS

- Only covers equipment, not build-out or working capital
- Equipment is repossessable collateral
- Interest rates can be higher than SBA/bank
- Sometimes bundled with unfavorable service contracts

6 Friends, Family, & Private Investors

Typical amount: $5,000–$75,000

Cost: Often 0% interest, but with relationship risk

Term: Flexible (negotiated)

Approval time: Depends entirely on the relationship

Borrowing from parents, siblings, or a trusted friend is one of the most common ways first-time salon owners fill the equity gap. Done right, it's cheap and flexible. Done wrong, it destroys relationships. If you go this route: **always put it in writing**. A simple promissory note (template available online, or your lawyer can draft one for $200) specifying amount, repayment terms, and whether it's a loan or an investment protects everyone. Handshake deals turn into arguments at Thanksgiving.

Private investors (angel investors, silent partners) are less common for salons than for tech startups but do exist — usually local businesspeople who see a strong owner and want a modest equity stake in exchange for capital. Typical terms: 15–30% equity for $30,000–$80,000 of capital. Make sure the equity dilution is worth it — you're giving up a share of all future profits, which is expensive over 10 years.

PROS

- Flexible, often low-cost
- Faster than bank approval
- Investor may bring expertise

CONS

- Relationship risk if things go wrong
- Equity investors take a cut forever
- Must be documented properly
- Awkward conversations about repayment

7 Small Business Grants

Typical amount: $1,000–$25,000

Cost: $0 (grants are not repaid)

Best for: Women-owned, minority-owned, or regional initiatives

Approval time: 4–12 weeks

Grants are the best funding source that doesn't have to be repaid — but they're small, competitive, and should be treated as a *supplement*, not your primary source. Common grants for salon owners:

- **Amber Grant for Women** (U.S.) — $10,000 monthly grant for women entrepreneurs. Low barrier to entry.
- **Futurpreneur** (Canada) — up to $60,000 combined grant + loan package for entrepreneurs aged 18–39, with mentoring.
- **Alberta / Ontario / BC provincial grants** — small business support, especially for rural or underserved areas.
- **Minority Business Development Agency** (U.S.) — federal grants and matching funds for minority-owned businesses.
- **Local chamber of commerce grants** — often $1,000–$5,000 for opening a business in a specific neighborhood. Check yours.
- **Women of Worth Foundation**, **IFundWomen**, and dozens of other small niche programs.

Apply to every grant you qualify for — the downside is spending an afternoon on an application; the upside is $5,000–$25,000 you don't have to repay. Even $5,000 can be the difference between a comfortable launch and a cash crunch.

PROS

- Free money — no repayment

CONS

- Amounts are small
- Highly competitive

- Strengthens your story to other lenders
- Low application time cost

- Can't be your primary funding source
- Some require ongoing reporting

Side-by-Side Comparison

Option	Typical Amount	Rate / Cost	Approval Speed	Best For
Personal savings	$15K–$60K	$0	Instant	Required 20–30% down payment
SBA 7(a) / BDC	$50K–$350K	7.5–11%	6–12 weeks	Primary startup capital (most founders)
Bank loan	$25K–$250K	8–13%	4–8 weeks	Founders with strong credit & banking history
Line of credit	$10K–$100K	9–18% (variable)	2–4 weeks	Working capital buffer, not primary funding
Equipment financing	$5K–$50K	6–15%	1–2 weeks	Pedi chairs, stations, POS hardware
Friends & family	$5K–$75K	0% (usually)	Varies	Filling equity gap, if done in writing
Small business grants	$1K–$25K	$0 (no repayment)	4–12 weeks	Supplemental funding, especially for women/minority owners

Which Should You Choose?

The right mix depends on your situation. Most new salon owners will combine 2–3 of these sources. Here's a quick decision framework:

If you have 720+ credit, 5+ years experience, 30% cash down	→ SBA 7(a) or BDC (primary) + personal savings + line of credit (buffer)
If you have good credit but less than 20% cash	→ SBA 7(a) + equipment financing + small grants + friends/family to reach 20%
If you have thin credit but strong industry experience	→ Equipment financing + friends/family + grants + smaller starter lease
If you're a woman or minority entrepreneur	→ Check grants first (Amber Grant, Futurpreneur, MBDA) + BDC/SBA + equipment financing
If you're in Canada	→ BDC Small Business Loan + Futurpreneur (if under 40) + provincial grants + LOC from your main bank
If you only need $40K and have good personal credit	→ Personal savings + equipment financing + LOC — skip the big loan entirely

> *The most common successful funding mix we see for a $120K salon: $30K owner equity + $70K SBA/BDC loan + $10K equipment financing + $10K working capital LOC (kept in reserve). Rarely a single source — always a stack.*

Before You Apply: Three Things to Do

1. **Pull your credit report** — free at AnnualCreditReport.com (U.S.) or Equifax/TransUnion (Canada). Fix errors 6 months before applying. Even a 20-point improvement unlocks better rates.
2. **Write your business plan** — lenders read hundreds. Specific numbers and clear differentiation get funded; generic "we'll provide great service" does not. Use our Salon Business Plan Template.
3. **Know your break-even math** — every lender asks when you'll be profitable. Have a confident, realistic answer backed by calculations. Use the Salon Breakeven Calculator to build your numbers.

Frequently Asked Questions

What is the best loan for a new salon?

How much of my own money do I need to put down?

Can I get a grant to open a salon?

What credit score do I need for a salon loan?

How long does it take to get approved for a salon loan?